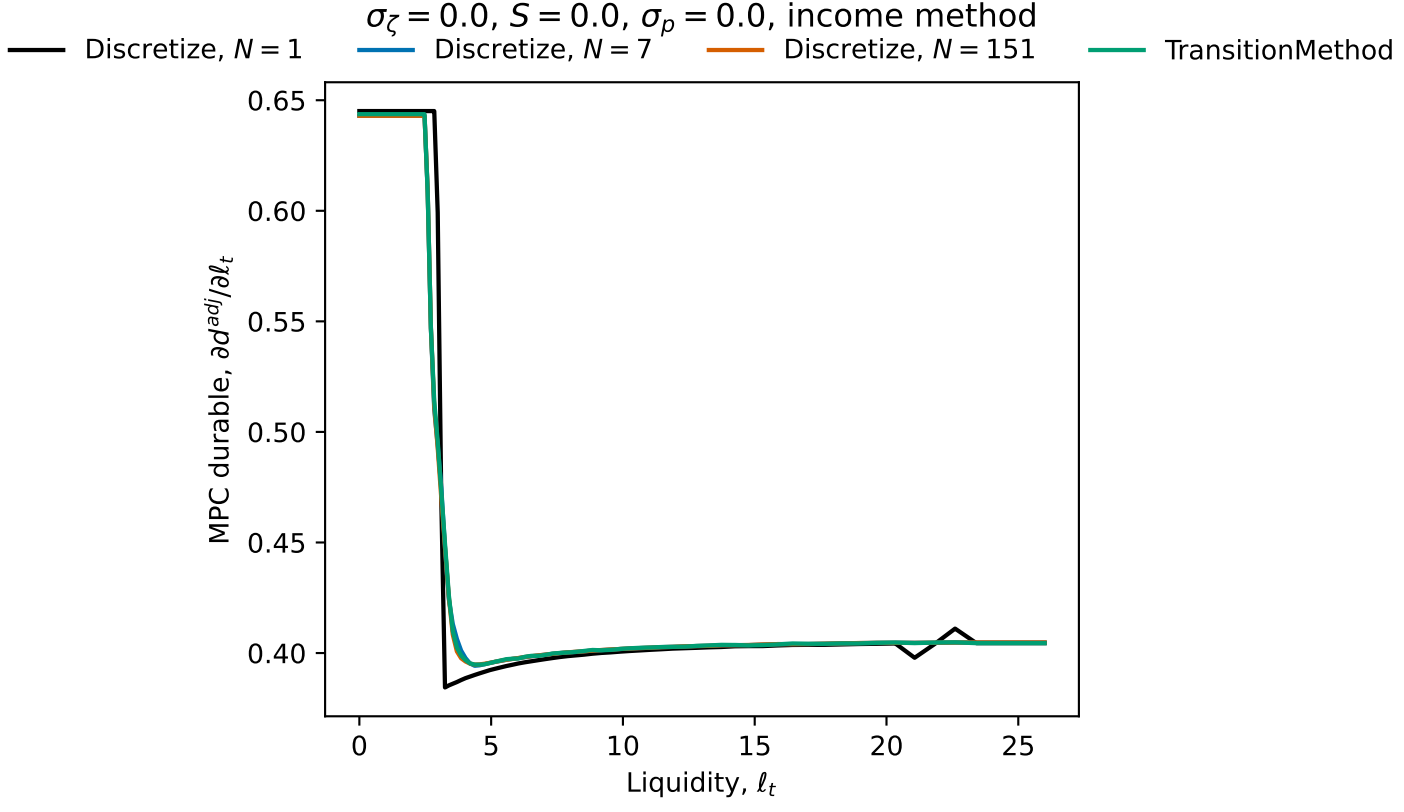
$\sigma_\zeta = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod
MPC durable, $\partial d^{adj}/\partial \ell_t$
0.65
0.60
0.55
0.50
0.45
0.40
0
5
10
15
20
25
Liquidity, ℓ_t